- My wife and I decided to remove our gold from the bank locker and invested it more wisely in Gold Exchange Traded Funds (ETFs), thus utilizing the peaks and troughs in gold prices. It was not an easy decision considering the conventional way of thinking in our families. We had to face stiff resistance from our parents, with arguments like 'we will need this jewellery when our daughters get married' or 'we might need this for a rainy day' etc. I do not know how the marriage of the next generation will be celebrated and whether they will want to wear jewellery of older designs. I will need gold at that stage and I will be happy to buy what is needed for the marriage at the right time. Regarding a 'rainy day', well, that is what financial freedom is all about. Having said that, I do not want to force you into such decisions. First you should be convinced and be able to invest small amounts of money in Gold. Once you have understood what is happening around you and understand the macro economy, you can think of such decisions but definitely not in the first 36 months of your journey.
- In any case, I do not recommend Gold to be more than 10% of your overall portfolio ever. It is just a hedge against inflation and good diversification when markets are down. But, it cannot continue to give the kind of returns that you can expect from Mutual Funds or Stocks.

Stocks

Stocks are the most feared and also the most profitable investment vehicle. I always believe in the age old saying that 'knowledge removes fear'.

The more you understand stocks, the more enthusiastic you will be about them and more profit you will reap from them. Here are a few tips based on what I have learnt on my journey:

- First ground rule – Do not ever invest in stocks because someone has told you to do so. I have burnt my fingers enough times. Therefore I have the nerve to call this statement a rule (with no exception).